



“Overseas markets (especially the US) give Indian investors a chance to invest in some of the most cutting-edge companies in emerging areas such as artificial intelligence, autonomous vehicles, robotics, and others”

VIRAM SHAH
CO-FOUNDER & CEO,
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“The cost of investing in US markets is declining every year. Till a few years ago, US stock investment platforms charged as much as \$10 per month and \$10 per transaction. Today, the cost is a lot lower”

SWASTIK NIGAM
FOUNDER & CEO,
WINVESTA

not have to worry about when to buy or sell. Mutual funds are cheaper as well,” says Pratik Oswal, Head of Passive Funds at Motilal Oswal Mutual Fund, which manages the country’s largest mutual fund scheme for international investments. While the process may well be seamless, there is a cost attached to it, and it is typically much more than what one would pay to buy Indian shares.

A COSTLY AFFAIR?

Indians investing in the domestic market are used to a broking fee along with some minor statutory charges including a securities transaction tax. Despite these, the cost of trading stocks in India is not very high. But overseas trading entails a host of charges apart from the normal broking fee, and the costs at times could be substantial, especially considering the fact that they are charged in dollars.

Apart from the broking fee, an investor bears the bank transfer and withdrawal charges (paid when moving

funds from an Indian bank account to a US-based bank account, and vice-versa), and a mark-up on the currency rates. To be sure, the cost of trading US equities has come down over the years—but earlier, every trade would have cost the investor anything between \$10 and \$15. “Till a few years ago, US stock investment platforms charged as much as \$10 per month, and \$10 per transaction. Today, there is no monthly fee or trading commission. The only charges are related to the movement of money,” says Nigam. Incidentally, investing platforms are working on reducing the costs—including those related to withdrawal charges—to bring down the overall cost of trading in US stocks for Indian investors.

Meanwhile, an important aspect of investing in overseas stocks is that the exposure is not only to heightened volatility of the US equity markets—US stocks are known to gyrate 20-25 per cent in a single day—but also to the risk of currency fluctuations.

Then, there is the tax element. While an Indian will be taxed only in India, the threshold for ascertaining long-term gains is two years for US stocks compared to one year for domestic equities. While long-term capital gains are taxed at 20 per cent with indexation benefit, dividends are taxed at 25 per cent, though one can offset it against overall tax liability.

HERE TO STAY

There is no denying the fact that the quantum of investments made by Indians in overseas equities will only move north. The segment has seen the investors evolve, and now, they actively look at exchange-traded funds as an investment avenue. There is also a growing set of investors who look at non-US listed companies, where they take exposure in firms like Alibaba, Adidas, Sony, Bayer, Barclays and Toyota, among others, through their depository receipts listed on the US bourses.

According to the RBI, the cumulative investment in overseas equities and debt by Indians was nearly \$105 million in March—the highest in well over a year. There are nearly 80 million demat accounts in India, of which around 30 million are active ones investing in domestic equities, while around 3 million invest in overseas equities.

Even if we look at a 25 per cent conversion rate of people that actively invest in India, the opportunity is huge, says Shah. **BT**

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